FALLEN EMPIRES

Ring: the deal sheet

After the Tank, Fallen Empires. Facts only, with sources. This is not investment advice.

The deal

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| Company | Doorbot (renamed Ring in 2014) |

| Founder | Jamie Siminoff |

| Appearance | Shark Tank US, season 5, November 2013 |

| Ask | $700,000 for 10 % (a $7M valuation) |

| Only offer | Kevin O'Leary: a $700,000 loan, repaid through a 10 % royalty on sales, then 7 %, plus 5 % equity |

| Result | No deal. Siminoff declined the offer. |

| Afterwards | Over $200M raised from venture investors, including Kleiner Perkins, Qualcomm Ventures, Goldman Sachs and DFJ Growth |

| Exit | Amazon bought Ring in 2018, in a deal reported at over $1 billion (Reuters, via CNBC). Amazon's quarterly report shows more than $800M in cash paid. |

3 things the case shows

1. A founder can say no to money when the terms don't fit the business. Siminoff said a royalty makes a hardware product impossible to build.
2. Outside investors can replace a shark: Ring raised more than $200M after the show.
3. Prices of private deals are often only "reported". Always check whether a number is a price, a valuation or cash paid.

2 mistakes to avoid when reading these stories

1. Calling a refused offer a "rejection by the sharks". Here the founder walked away.
2. Mixing up price, valuation and cash paid, which are three different numbers.

Glossary

- **Royalty**: a cut of every sale, whether or not the company is profitable. 10 % of a $100 sale = $10.
- **Equity**: a share of ownership in the company.
- **Valuation**: amount invested divided by the share obtained. $700,000 for 10 % = $7M.
- **Acquisition**: one company buying another.

Sources

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- https://abcnews.com/news/story/amazon-buying-home-security-company-bombed-shark-tank-53412364
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